

**Human Resources and
Strategic Operations
Management
Week 5: Session 3**



Register...



Intended Module Learning Outcomes

1. Appraise the development of the human resource function.
2. Critically examine the traditional and contemporary approaches of recruitment and selection.
3. Analyse the procedures and practices of performance management and remedial activities.
- 4. Investigate and plan the resources required to achieve an organisation's aims and objectives.**
- 5. Evaluate and appraise the use of resources against organisational plans.**
6. Formulate plans to ensure that resources are maximised and remedial actions are taken where appropriate.

Session Outcomes

At the end of this session learners should be able to:

- 1 Understand the strategic importance of human resource management
- 2 Appreciate the problems that firms have in managing human resource management
- 3 Understand the changes to human resources over time within operations management
- 4 Recognize the need for ongoing development, training and learning within organizations



‘The basis of
competitive
advantage is moving
from capital, natural
resources to **human
capital**’

(Tampoe 1994)

The **skills base** is one of the firm's main assets.

It is **hard** for competitors to imitate ... this calls for an attitude to encourage learning and to reward efforts which add to the firm's knowledge.

Skills **go out of date** and need constant replenishment. In the long term what is most important may not be the skills, but the ability to keep learning new ones (Grindley 1991)

- Human resources matter much more than they ever did.
- So one of the key skills in strategic operations management is going to be learning how to motivate and direct such resources.
- *Can you think of different ways of motivating individuals and team?*

Critical Thinking Activity



It is commonplace to hear managers and chairmen of companies say that '***people are our biggest asset***' –

But often this is nothing more than words. In what ways can people make a difference to the way a business operates – and how can this potential be realised?



Discuss with your peers

A research on the global automobile industry in the 1980s showed that there were very significant performance differences between the best plants in the world (almost entirely Japanese operated at that time) and the rest.

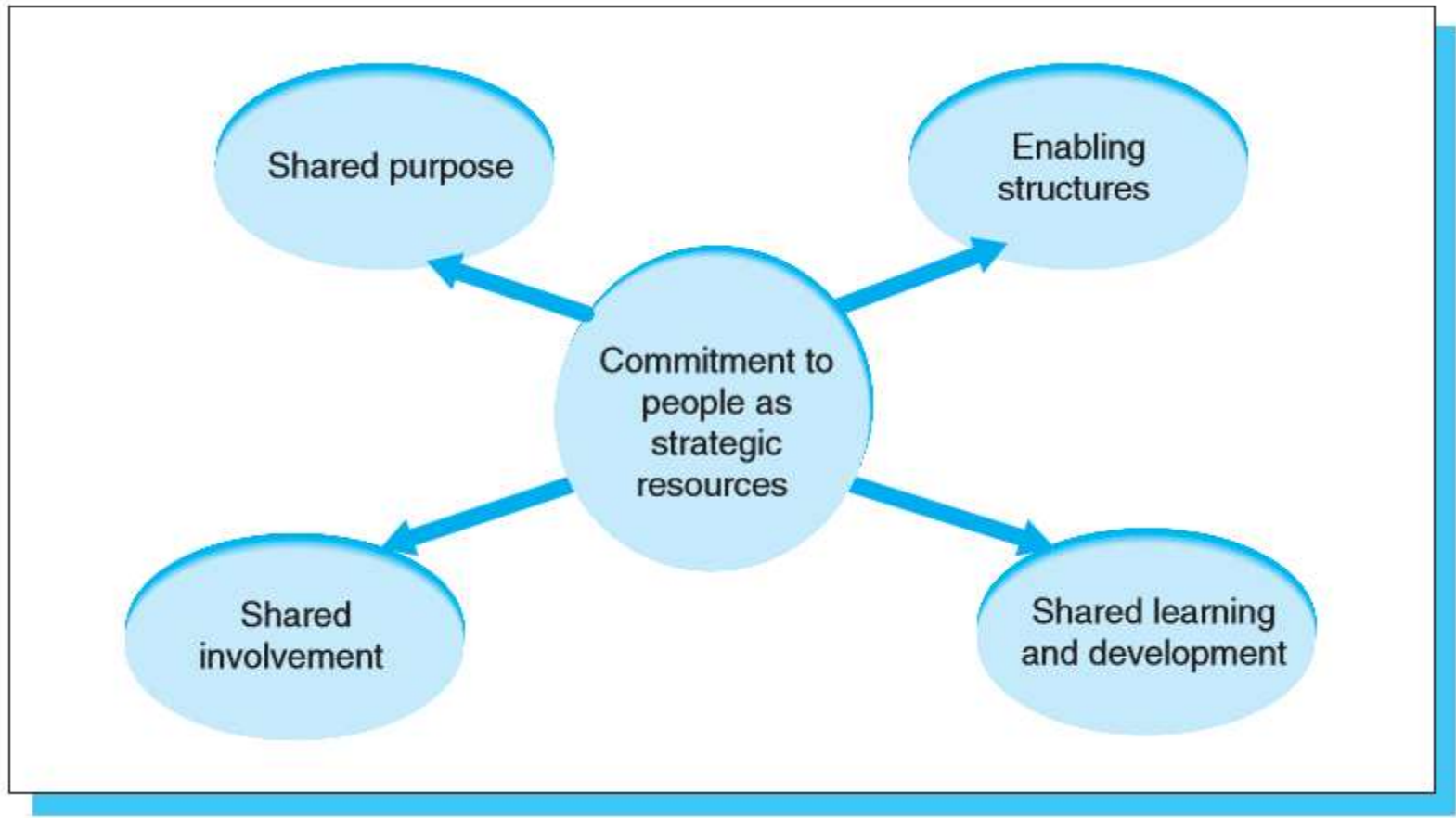
The gaps were not trivial (Womack et al., 1990):

- “... our findings were eye-opening. The Japanese plants require one-half the effort of the American luxury-car plants, half the effort of the best European plant, a quarter of the effort of the average European plant, and one-sixth the effort of the worst European luxury-car producer. At the same time, the Japanese plant greatly exceeds the quality level of all plants except one in Europe – and this European plant required four times the effort of the Japanese plant to assemble a comparable product ...”
- Why do you think this is? Do you think national culture has anything to do with it?

What they found was that there were few differences in areas like automation – indeed, in many cases **non-Japanese plants had higher levels of automation and use of robots.**

But there were major differences in the **way work was organized** and in the approach taken to **human resources.**

Human resource issues in strategic operations management



Key elements in human resource management in strategic operations

Area	Key elements
Commitment to people as strategic resources	Employment security Choosing the right people Valuing and rewarding them Wage compression Symbolic egalitarianism
Shared purpose	Strategic leadership Shared planning processes Policy deployment Information sharing Employee ownership
Enabling structures	Appropriate organization design Job and work organization design Devolved decision making Supportive communications
Shared learning and development	Commitment to training and development Embedding a learning cycle Measurement Continuous improvement culture
Shared involvement	Teamworking Cross-boundary working Participation and involvement mechanisms Stakeholder focus and involvement

**Managing Risk and Recovery
Week 5: Session 4**



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Session Outcomes

At the end of this session learners should be able to:



Understand risk management



Evaluate how operations can assess the potential causes of failure



Evaluate how operations can assess the potential consequences of failure



Recognise how failures can be prevented



Analyse how to recover from the effects of failure



Warm – up Think & Share



Activity

5 minutes

What is risk management?



What exactly is risk management?

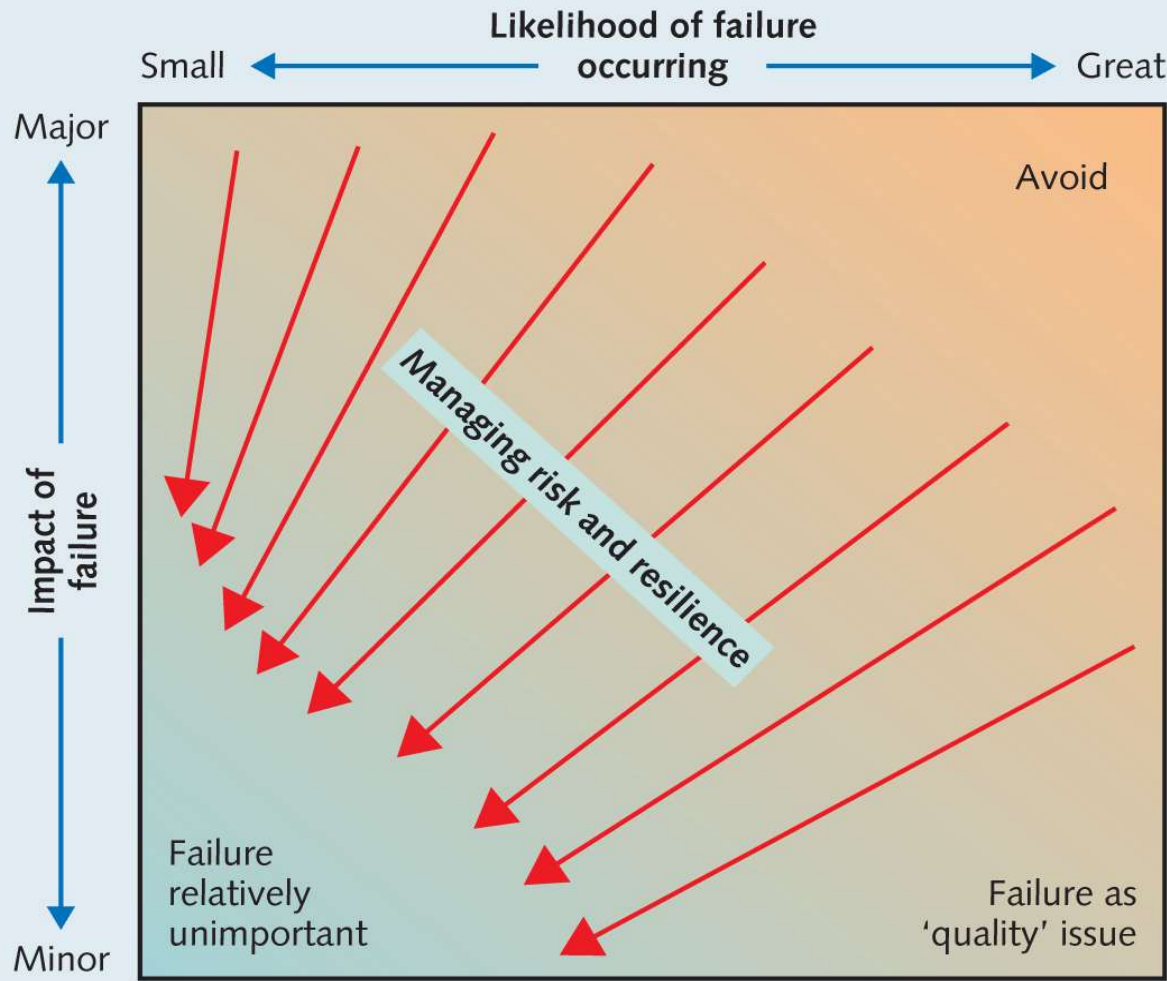
<https://www.youtube.com/watch?v=BLAEuVSAIVM>

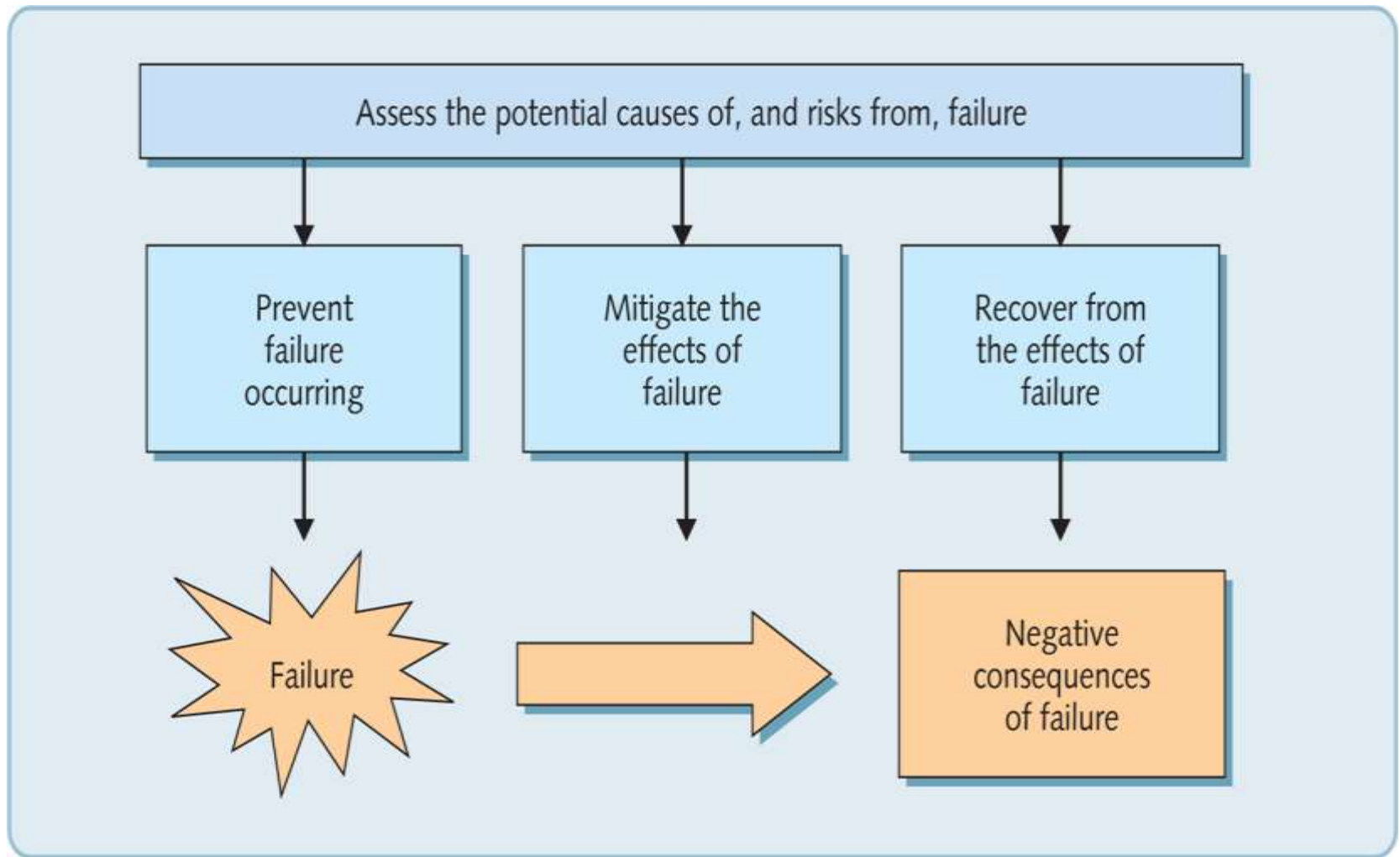


Risk management basics: What exactly is it?

Failure will always
occur in
operations;
recognising this
does not imply
accepting or
ignoring it

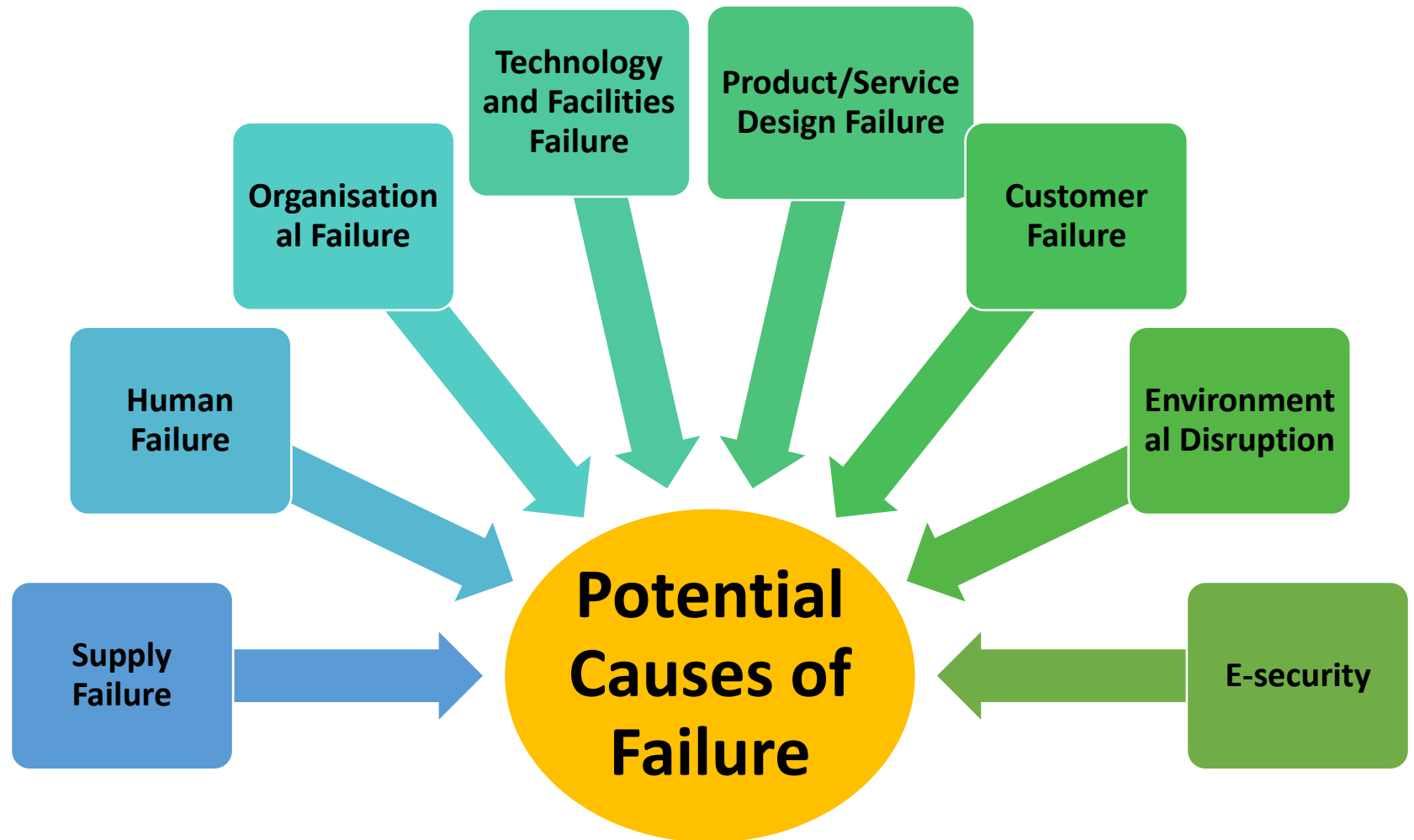
How failure is managed depends on its **likelihood of occurrence** and the **negative consequences** of failure

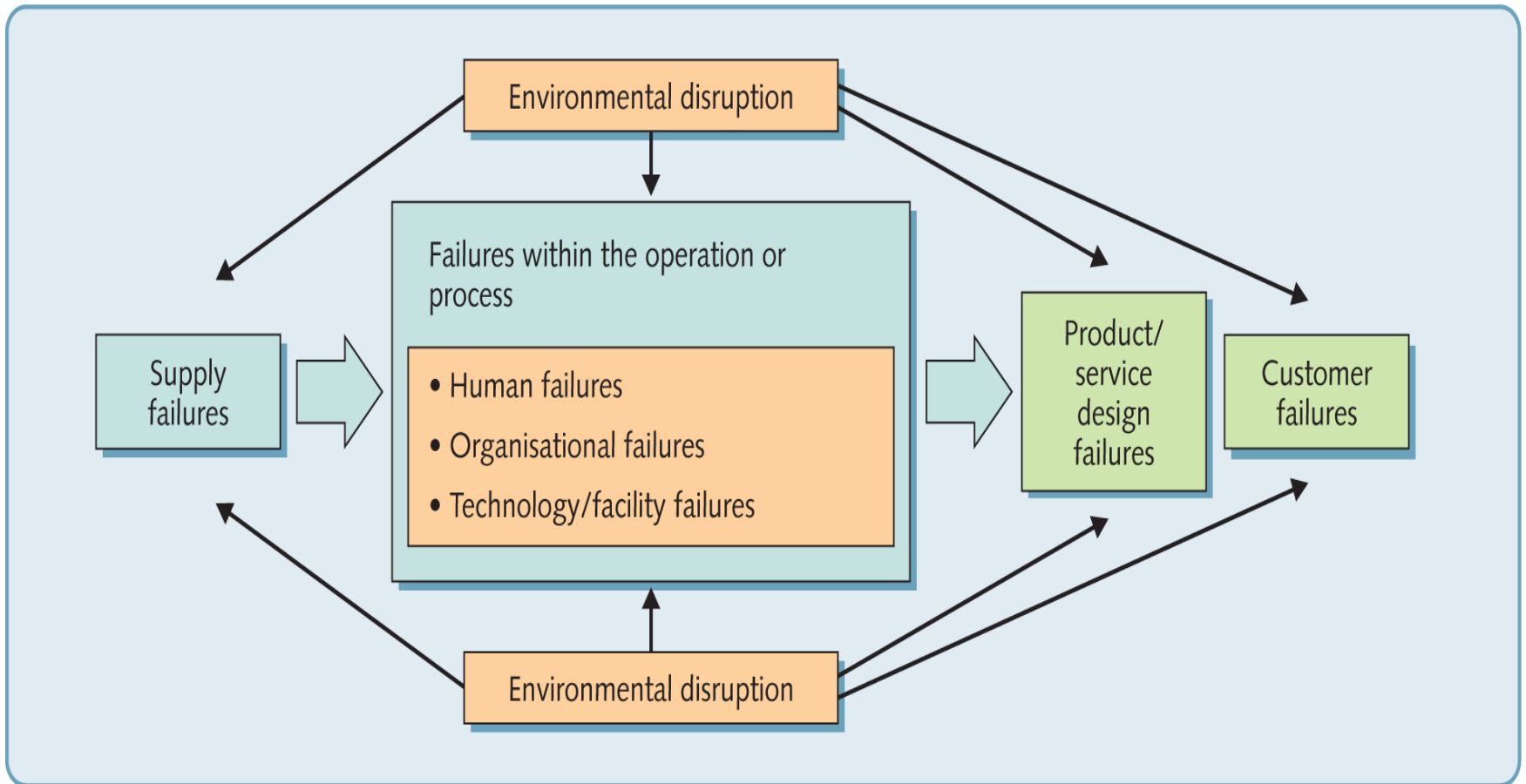




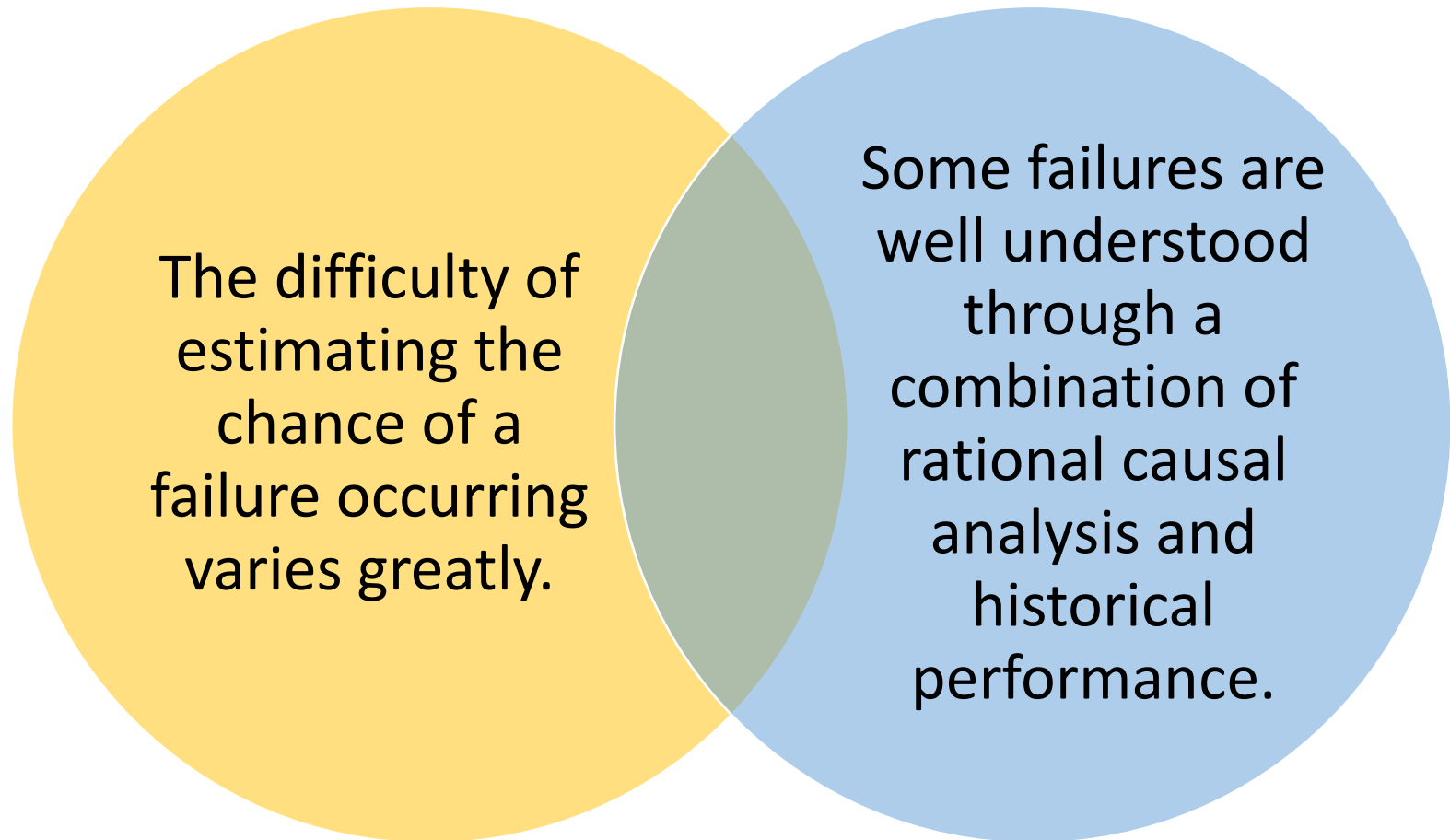
Risk management involves failure prevention, mitigation the negative consequences of failure and failure recovery

A 'failure to
understand
failure' can be
the root cause
of a lack of
resilience

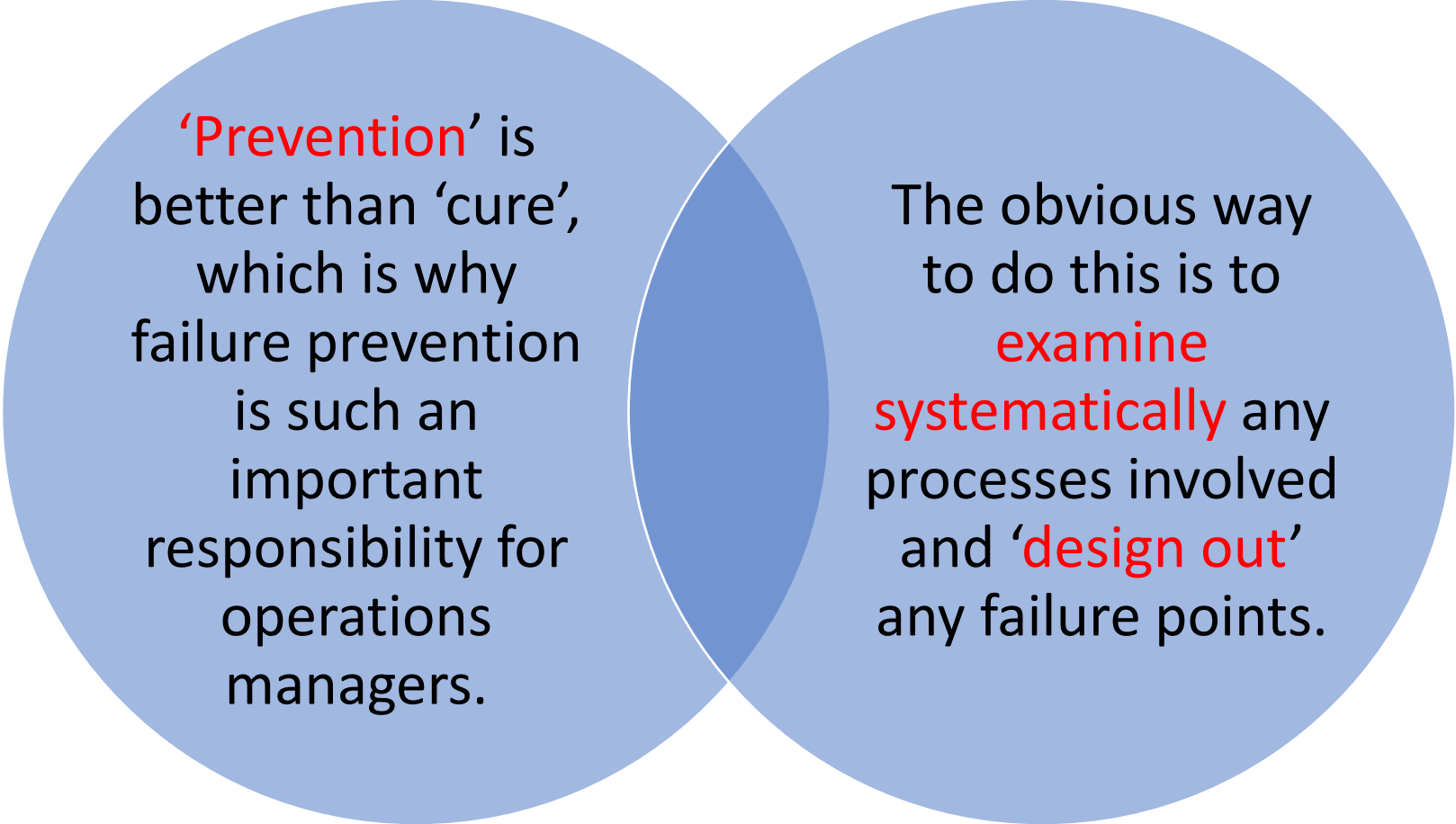




Likelihood of Failure



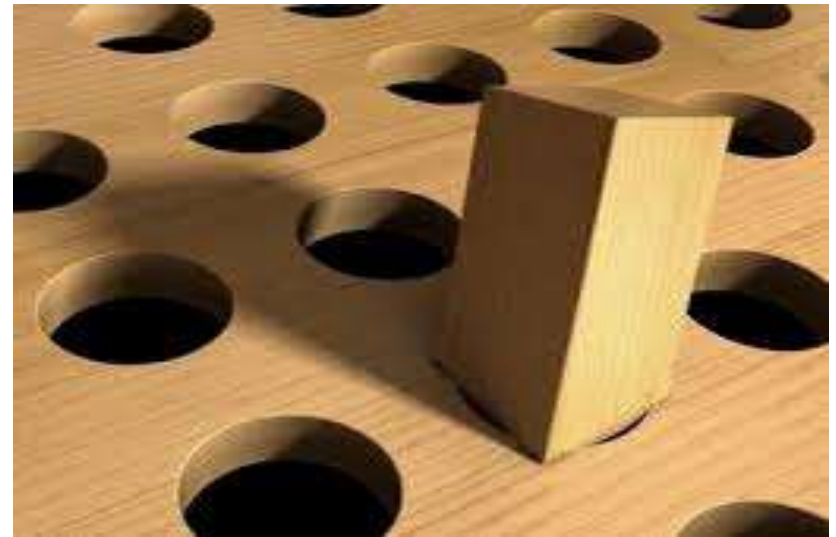
HOW CAN FAILURES BE PREVENTED?



‘Prevention’ is better than ‘cure’, which is why failure prevention is such an important responsibility for operations managers.

The obvious way to do this is to **examine systematically** any processes involved and **‘design out’** any failure points.

- The concept of **fail-safeing** has emerged since the introduction of Japanese methods of operations improvement.
- Called poka-yoke in Japan (from yokeru (to prevent) and poka (inadvertent errors)), the **idea is based on the principle** that human mistakes are to some extent inevitable.
- What is important is to **prevent them becoming defects**.
- Poka-yokes are simple (preferably inexpensive) devices or systems that are incorporated into a process to prevent inadvertent mistakes by those providing a service as well as customers receiving a service.



Examples of poka-yokes include:

Trays used in hospitals with indentations shaped to each item needed for a surgical procedure – any item not back in place at the end of the procedure might have been left in the patient;

Checklists which have to be filled in, either in preparation for, or on completion of, an activity, such as a maintenance checklist for an aircraft during turnaround;

Gauges placed on machines through which a part has to pass in order to be loaded onto, or taken off, the machine – an incorrect size or orientation stops the process;

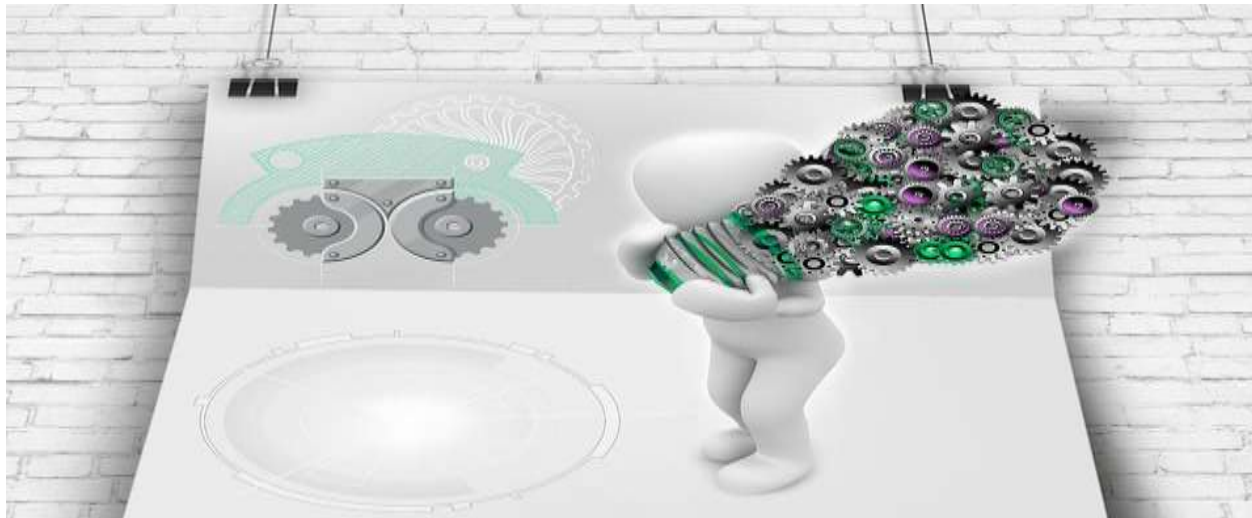
The locks on aircraft lavatory doors, which must be turned to switch the light on;

Beepers on ATMs to ensure that customers remove their cards or in cars to remind drivers to take their keys with them;

Limit switches on machines which allow the machine to operate only if the part is positioned correctly;

Height bars on amusement rides to ensure that customers do not exceed size limitations.

- **Maintenance** is how organizations try **to avoid failure** by taking care of their physical facilities.
- It is an important part of most operations' activities, particularly in operations dominated by their physical facilities such as power stations, hotels, airlines and petrochemical refineries.
- The **benefits of effective** maintenance include enhanced safety, increased reliability, higher quality, lower operating costs, a longer life span for process technology, and higher 'end value' (because well-maintained facilities are generally easier to dispose of into the second-hand market).



Mini Case Study



Activity

15 minutes

OPERATIONS IN PRACTICE

Tiny and not so tiny recalls for General Motors⁸

According to the data analytics company Teradata Corp., car recalls cost the automotive industry somewhere between \$45 and \$50 billion per annum. Which is why automotive giants including General Motors, Nissan and Toyota have looked to build sophisticated data-mining operations so they can move towards what industry insiders call 'tiny recalls'. When faced with an emerging potential mechanical problem, car manufacturers have traditionally had two choices. The first option is to issue a general recall for the model in question. But there is a major financial and reputational cost to this, as well as significant inconvenience for customers, many of who will not actually have a fault in their car. The second option is



Source: Corbis, Michael Spooner/Bettger

to ignore the fault and in doing so accept the risk that a very small number of customers may have problems (even serious accidents). While this may be justified in short-term financial (if not ethical) terms, the longer term consequences could be disastrous, especially if the media expose the fact. Now, there is a third option available. The rise of bar coding, radio frequency identification (RFID) and more advanced information systems has allowed automakers to track components in far greater detail. The result is that faults can often be isolated not only to a model range, but to a specific set of components, made in particular periods of time, even by a particular shift at the factory. This then enables a far

more focused recall of only the cars that are most likely to have a defect. For example, when a braking fault was identified on the Chevrolet Volt, General Motors (GM) was able to identify all 'at-risk' cars through its advanced parts tracking, and issue a 'tiny recall' (in this case, just four cars in the whole of the USA). However, prevention is better than cure. Many auto manufacturers, while seeking to target recalls, still face large recalls brought about by quality problems. For example, during 2014, GM announced the recall of a staggering 29 million cars and vans in North America, a number greater than its total US sales between 2005 and 2013. One of the largest recalls was for ignition switch defects, which included models as old as 1997.

Read the mini case study
“Tiny and not so tiny
recalls for General
Motors”

Make your points and
discuss them with your
peers



Activity

5 minutes

Traffic Light *it*

Where is your learning at?



Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Assignment support



Session Reference List

- Greasley, A. (2013) Operations Management. 3rd edn. John Wiley & Sons
- Heizer, J., Render, Barry, author, & Munson, Chuck, author. (2017). Principles of operations management sustainability and supply chain management (Tenth edition.; Global ed.).
- Hill, A. and Hill, T. (2018) Essential operations management. Second edition. London: Palgrave
- Slack, N., Brandon-Jones, Alistair, author, & Johnston, Robert, author. (2013). *Operations management* (Seventh ed.). Harlow, England: Pearson
- Slack, N. (2015) Operations and process management: principles and practice for strategic impact. Fourth edition. Harlow, England: Pearson Harlow, England: Pearson
- Slack, N. and Brandon-Jones, A. Johnston R. (2016) Operations Management. Eighth edition,
- Slack, N. and Brandon-Jones, A. (2018) Operations and process management: principles and practice for strategic impact. Fifth edition. Harlow, England: Pearson



Reading

Essential Reading

- Stevenson, W.J. (2021). *Operations Management* (fourteenth edition). McGraw Hill
- Torrington, D., Hall, L., Atkinson, C. (2020). *Human Resource Management* (11th edition). Pearson

Recommended Reading

- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A, & Wright, P.M. (2022). *Fundamentals of human resource management* (Ninth edition). McGraw Hill.
- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A, & Wright, P.M. (2022). *Human resource management: gaining a competitive advantage* (Thirteenth edition). McGraw Hill.
- Heizer, J., Render, B., & Munson, C. (2023). *Principles of Operations Management: Sustainability and Supply Chain Management* (Twelfth edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2021). *Operations and process management* (Sixth edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2018). *Operations and process management principles and practice for strategic impact* (Fifth edition). Pearson.
- Hill, A., & Hill, T. (2018). *Essential operations management* (Second edition). Palgrave.

Additional Reading

- Bratton, J., Gold, J., Bratton, A., (2012) *Human Resource Management: Theory and Practice*. 5th edn. Basingstoke: Palgrave MacMillan
- CMI Website : Management Direct